Mehfil-e-Zan

Gather. Grow. Glow.

FINANCE AND EXPENSE MANAGEMENT STANDARD OPERATING PROCEDURES

Simple, honest money controls: plan it, approve it, record it, check it

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Applies to	All employees who spend, receive, approve, record or report money, and all vendors and instructors who are paid by Mehfil-e-Zan

Student project note: *This document is a student project deliverable. Approval limits, float amounts, payment terms and retention periods are business assumptions. Tax, banking, anti-money-laundering and accounting rules must be checked for Pakistan and Sindh, and reviewed by a qualified accountant or tax adviser, before a real business adopts this SOP.*

1. Purpose and Scope

1.1 Purpose

Money moves through Mehfil-e-Zan every day: cafe sales, passes, workshop fees, supplies, salaries and rent. This SOP sets basic controls so that money is planned, spent only with approval, recorded accurately and checked regularly. It protects the business, the team and the women who trust us.

1.2 Scope

This SOP covers budgets, expense approvals, petty cash, purchase requests, vendor payments, invoices, records, reporting, fraud prevention, conflicts of interest, financial access and the monthly review. Staff pay rules are in MEZ-POL-002. Client pricing honesty is in MEZ-SOP-008.

1.3 Business assumptions

- Mehfil-e-Zan is a women-only cafe and community space in Gulshan-e-Iqbal, Karachi, open daily from 10:00 AM to 10:00 PM, with 40 seats.
- Income comes from the cafe, Day Pass (Rs. 500), Mehfil Pass (Rs. 3,000 a month), Work & Sip (Rs. 6,000 a month), workshops and private bookings.
- The business keeps one main bank account and one cash float. Digital payments (bank transfer, wallet or QR) are encouraged.
- The financial year runs from 1 July to 30 June (assumed). All amounts are in PKR.

1.4 Related documents

Document ID	Title	Link to this SOP
MEZ-SOP-001	General Office SOP	Conduct, escalation
MEZ-SOP-002	Security Measures SOP	Cash handling, safe, CCTV in cash area
MEZ-SOP-008	Client Communication and Engagement Ethics SOP	Quotations, refunds, conflicts of interest
MEZ-POL-001	IT Rules and Regulations Policy	System access, backups
MEZ-POL-002	HR and Employee Management Policy	Payroll, final settlements
MEZ-PLN-002	Sales Targets and Performance Plan	Revenue targets
MEZ-FRM-038 to 042	Finance forms (Annexes A to E)	Budget, claims, petty cash, purchases, reconciliation

Note: *Document and form numbers are assumed and should be matched to the master Document Register.*

2. Roles and Responsibilities

Role	Responsibilities under this SOP
Owner and CEO	Approve the yearly budget, high-value spending, new bank signatories and policy changes. Review monthly reports.
Finance Director	Owns this SOP. Prepares budgets and reports, approves mid-value spending, runs payroll and vendor payments, controls the bank account and leads reconciliations.
HR / Sales / Marketing Manager	Prepares department budgets, approves staff-related and marketing spending within limits.
Operations Officer	Raises purchase requests for stock and supplies, checks deliveries against orders.
Supervisor	Manages the petty cash float and till, approves small expenses and checks the daily cash count.
Sales Executive	Issues receipts for passes, events and bookings. Reports daily sales.
Marketing Executive	Raises purchase requests for printing, ads and content within the marketing budget.
IT Manager	Sets up financial system access and keeps backups. Reviews access logs.
Security & Safety Manager	Protects cash, the safe and cash movements.
Documentation & Compliance Coordinator	Files vouchers, invoices and approvals. Checks that records are complete and kept for the required period.

3. Financial Control Principles

Principle	What it means in practice
Approval first	No spending without the right approval in writing, before the money is spent.
Two people	No one handles a payment alone. The person who requests is not the person who approves, and the person who approves is not the person who pays or records.
Proof for everything	Every payment has an invoice or receipt. Every receipt has an entry in the books.
Honest and on time	Records are entered within 2 working days. Nothing is changed or hidden to look better.
Least access	People get only the financial access their job needs.
Speak up	Anyone can report a concern without fear. Retaliation is not allowed.

4. Budget Preparation

4.1 Yearly budget

1. In May, the Finance Director shares last year’s results, the sales plan (MEZ-PLN-002) and a budget calendar.

2. Each manager completes Annex A for her area: staffing, supplies, marketing, repairs, training and events.
3. The Finance Director combines them into one budget: income, costs, expected profit and cash needs. She checks it for realism.
4. The CEO and Owner review, adjust and approve the budget before 30 June.
5. The approved budget is shared with managers. Each manager is responsible for her budget.

4.2 Budget lines

Income lines	Cost lines
Cafe sales, passes and memberships, workshop fees, private bookings, partnerships	Rent and utilities, salaries, food and beverage stock, supplies, marketing, repairs, training, licences, insurance, bank charges, taxes, reserve

4.3 Changes during the year

- Spending above the budget line needs a written request (Annex A) and approval from the Finance Director up to 10% of the line, and from the CEO above that.
- Money may be moved between lines only with approval. Moves are recorded.
- A reserve of 5% of the budget is held for emergencies and approved by the CEO before use.

5. Expense Approvals

5.1 Approval limits (assumed)

Amount per item or invoice (PKR)	Who can approve	Notes
Up to Rs. 5,000	Supervisor, or the manager of the budget	Petty cash or bank
Rs. 5,001 to Rs. 25,000	Finance Director	Written request and invoice
Rs. 25,001 to Rs. 100,000	CEO	Three quotations where possible
Above Rs. 100,000	CEO and Owner together	Three quotations needed, and a written reason if not
Salaries, rent, taxes, repeating utilities	Finance Director prepares, CEO approves	Once a year for fixed amounts, checked monthly

5.2 Rules

- Do not split a purchase into smaller parts to stay under a limit. This is treated as a breach.
- Nobody approves her own expense, her own pay or her relative's payment. The next person above approves instead.
- Staff expense claims are made on Annex B within 7 days with receipts. Late claims need a reason.
- The Finance Director checks claims against receipts and pays within 7 working days.
- No personal spending on the business account or cash float, not even if it is repaid later.

6. Petty Cash

Item	Rule (assumed)
Float	Rs. 20,000, held by the Supervisor in a locked box in the safe.
Allowed uses	Small urgent purchases such as milk, ice, cleaning items, local transport or small repairs.
Limit	Rs. 3,000 per item. Larger needs go through a purchase request.
Voucher	Every payment has a numbered voucher (Annex C), signed by the person receiving the money, with the receipt attached. If there is no receipt, the person writes a note and the Finance Director must approve.
Count	The Supervisor counts the float every day at closing. The cash plus vouchers must equal Rs. 20,000.
Top-up	When the float falls below Rs. 5,000, the Supervisor submits vouchers. The Finance Director checks them and tops up to Rs. 20,000.
Surprise check	The Finance Director or CEO counts the float without notice at least once a month.
Differences	Any shortage or excess is reported the same day, recorded, and investigated. Repeated differences go to the CEO.

7. Purchase Requests

Step	What happens	Who
1. Need	Requester fills Annex D: item, quantity, reason, budget line, suggested vendor and estimated cost.	Requester
2. Check	Manager confirms the need and the budget is available.	Budget holder
3. Quotes	Three quotations for items over Rs. 25,000. For lower amounts, compare at least two prices where practical.	Operations Officer
4. Approve	Approval according to Section 5.1. A purchase order is issued by e-mail or WhatsApp.	Finance Director or CEO
5. Receive	Goods are checked against the order for quantity, quality and expiry by someone who did not place the order. Signed delivery note.	Operations Officer
6. Pay	Invoice is matched to the order and delivery note, then paid under Section 8.	Finance Director

Urgent purchases are allowed when safety or service is at risk. The Supervisor may buy up to Rs. 5,000 and informs the Finance Director the same day with receipts.

8. Vendor Payments and Invoices

8.1 Vendor setup

- New vendors are added by the Finance Director after checking identity, business name, address, phone, and a bank account in the vendor’s own name or business name.

- Vendors sign a short vendor declaration saying they have no undisclosed relationship with staff (see Section 11).
- Bank details are changed only on written request, confirmed by a call to a known number.

8.2 Invoice checking: three-way match

Before payment, the Finance Director or her assistant checks that the **invoice**, the **purchase order** and the **delivery note** agree on item, quantity and price. If anything does not match, payment is held and the vendor is contacted.

8.3 Payment rules

Item	Rule (assumed)
Terms	Vendors are paid within 14 days of a correct invoice, unless a different term is agreed in writing.
Method	Bank transfer or other traceable method. Cash payments to vendors only for small amounts under Rs. 5,000.
Two-person payment	The Finance Director prepares the payment. The CEO approves it in the bank system. Both must be involved above Rs. 25,000.
Proof	Payment reference and invoice are filed together. The vendor is sent confirmation.
Duplicates	Invoices are stamped PAID with date and reference, to avoid double payment.
Taxes	Withholding and sales tax on services, where applicable, are handled by the Finance Director with a tax adviser.

8.4 Instructors and freelancers

Workshop instructors receive a fixed fee agreed in writing before the session. Payment is made within 7 days of the session, against a simple invoice or fee note.

9. Income and Cash Handling

- Every payment received is recorded in the till, POS or booking system and a receipt is issued. Passes and private bookings get a numbered receipt.
- Cash is counted at closing by two people, the Supervisor and another staff member, and recorded on the daily sales sheet.
- Cash is banked at least every 2 working days. The deposit slip is attached to the daily sheet. The safe is never used for personal items.
- Refunds follow the policy in MEZ-SOP-008 and need the Supervisor’s signature up to Rs. 3,000 and the Finance Director’s above that.
- Discounts follow the price list. Staff may not give private discounts. Member discounts (10% and 15%) are applied only on valid passes.

10. Financial Recordkeeping and Reporting

10.1 Records

Record	Kept by	Kept for (assumed)
Daily sales sheets, till reports, deposit slips	Supervisor, then Finance	6 years
Invoices, purchase orders, delivery notes, vouchers	Documentation & Compliance Coordinator	6 years
Bank statements, ledgers, payroll sheets	Finance Director	6 years
Tax returns and tax correspondence	Finance Director	6 years or as the law requires
Budgets, approvals, reconciliations	Finance Director	6 years
Member and booking payment records	Sales Executive, then Finance	3 years after the last service

Records are stored in labelled folders and on a protected drive with daily backup (MEZ-POL-001). Nothing is destroyed without the Finance Director's sign-off and a destruction log entry.

10.2 Reports

Report	Content	Frequency	To
Daily sales and cash	Sales by type, cash counted, banked amount, petty cash balance	Daily	Finance Director
Weekly cash flow	Money in and out, upcoming payments	Weekly	CEO
Monthly financial report	Income, costs, profit, budget against actual, cash balance, unpaid invoices	Monthly, by the 10th	CEO and Owner
Quarterly review	Trends, pass numbers, workshop margins, forecast	Quarterly	CEO and Owner
Annual accounts	Statements for the year and tax filing	Yearly	Owner, tax authorities

11. Fraud Prevention and Conflicts of Interest

11.1 What counts as fraud

- Taking cash, stock or equipment. Changing receipts or invoices. Paying fake vendors or fake overtime.
- Claiming personal costs as business costs, or claiming the same cost twice.
- Taking gifts or commissions from vendors for placing orders.
- Hiding mistakes, deleting records or giving false reports.

11.2 Preventive controls

- Separation of duties, daily cash counts, surprise petty cash checks and monthly bank reconciliation.

- Sequential numbering of receipts and vouchers. Voided receipts must be signed by the Supervisor and kept.
- Vendor list reviewed twice a year. Duplicate or unfamiliar vendors are questioned.
- Staff in financial roles take at least 5 consecutive working days of leave each year, and someone else does the work.
- Gifts: no cash gifts. Gifts above Rs. 2,000 in value are declined or handed to the Finance Director.

11.3 Conflicts of interest

A conflict exists when a personal, family or business link could affect a financial decision, such as hiring a relative's catering company. The person must disclose it on the form in MEZ-SOP-008 (Annex G) **before** the decision, step out of it, and let the next level decide. Conflicts are logged in the Conflict-of-Interest Register. Not disclosing is a serious breach.

11.4 Reporting and response

1. Report suspicion to the Finance Director or CEO. If they are involved, go to the Owner. Reports can be anonymous.
2. The person who receives the report writes it down, secures records and tells the CEO within 1 working day.
3. A small fact-finding team, not including anyone involved, reviews the facts within 10 working days.
4. Outcomes may include repayment, discipline under MEZ-POL-002, ending a vendor contract and, if needed, a report to the police or legal action.
5. Controls are fixed afterwards (see the CAPA process in MEZ-SOP-010).

12. Financial Access Permissions

Access	Who has it	Control
Bank account: view	Owner, CEO, Finance Director	Individual login
Bank account: prepare payments	Finance Director	Cannot approve her own
Bank account: approve payments	CEO (and Owner for above Rs. 100,000)	Two-step verification
Accounting and payroll files	Finance Director, CEO, Owner	Password, access log
Cash safe and till keys	Supervisor and one named deputy	Key log, two people at counting
POS and booking system: sales entry	Supervisor, Sales Executive, trained cafe staff	Individual PIN, no shared logins
POS: voids, refunds, price edits	Supervisor and Finance Director only	Reason required, reviewed weekly
Petty cash float	Supervisor	Vouchers, daily count

The IT Manager reviews financial access every quarter and removes it on the day someone changes roles or leaves. Passwords are never shared or written down.

13. Monthly Financial Review and Reconciliation

13.1 Timeline

Day of month	Task	Responsible
By day 3	All sales, deposits, vouchers and invoices for the previous month entered	Finance Director and Supervisor
By day 5	Bank reconciliation: bank statement matched to the books. Differences listed and explained	Finance Director
By day 6	Cash, petty cash and till reconciliation. Float count agrees with vouchers	Supervisor, checked by Finance Director
By day 7	Vendor statements matched to unpaid invoices. Payroll checked against attendance	Finance Director
By day 8	Inventory value checked against the stock count (MEZ-SOP-010)	Operations Officer
By day 10	Monthly report issued to CEO and Owner (Annex E checklist attached)	Finance Director
By day 15	Review meeting: budget against actual, differences, actions, forecast	CEO, Owner, Finance Director, managers

13.2 Rules

- Any unexplained difference over Rs. 1,000 is investigated within 5 working days. Smaller repeating differences are also reviewed.
- The reconciliation is signed by the person who prepared it and by a reviewer who did not prepare it (the CEO).
- Items outstanding for more than 60 days are reported to the CEO.

14. Compliance, Review and Approval

14.1 Training and acknowledgement

- Staff with financial duties receive training in their first month and sign an acknowledgement. All staff are briefed on fraud reporting. A refresher is held every year.

14.2 Compliance checks

Check	Frequency	Responsible
Surprise petty cash count	Monthly	Finance Director or CEO
Expenses compared to approvals and limits	Monthly	Documentation & Compliance Coordinator
Vendor list and bank details review	Twice a year	Finance Director
Financial access review	Quarterly	IT Manager

Check	Frequency	Responsible
Conflict-of-Interest Register checked	Yearly	Documentation & Compliance Coordinator
Independent review of the accounts	Yearly	External accountant, appointed by Owner
Full review of this SOP	Yearly	CEO and Owner

14.3 Approval

Role	Name	Signature	Date
Prepared by: Finance Director			
Reviewed by: HR / Sales / Marketing Manager			
Approved by: CEO			
Approved by: Owner			

Annex A. Budget Request Form (MEZ-FRM-038)

Field	Details
Department and budget holder	
Financial year and period	
Budget line	
Amount requested (PKR)	
Reason and expected benefit	
Last year's actual (if any)	
Extra budget? Source of funds	
Prepared by and date	
Finance Director comment	
CEO / Owner decision and date	

Annex B. Expense Claim Form (MEZ-FRM-039)

Name: _____ Role: _____ Approved by: _____ Date paid: _____

Date	Description and reason	Budget line	Amount (PKR)	Receipt no.

Annex C. Petty Cash Voucher (MEZ-FRM-040)

Field	Details
Voucher number and date	
Paid to	
Purpose	
Budget line	
Amount (PKR, in figures and words)	
Receipt attached? (Yes / No, reason)	
Receiver signature	
Approved by	
Float balance after payment	

Annex D. Purchase Request Form (MEZ-FRM-041)

Field	Details
Request number and date	
Requested by and department	
Item, quantity and specification	
Reason and urgency	
Budget line and available balance	
Quotes received (vendor and price)	
Vendor chosen and why	
Approved by, amount and date	
Purchase order number	
Goods received by, date and condition	

Annex E. Monthly Reconciliation Checklist (MEZ-FRM-042)

Task	Done (date and initials)
All sales and deposits entered and matched to bank	
Bank reconciliation done and differences explained	
Petty cash count agrees with vouchers	
Till and cash differences reviewed	
Vendor statements matched and unpaid invoices listed	
Payroll agrees with attendance and approvals	
Stock value agrees with stock count	
Budget against actual report prepared	
Unusual items reported to CEO	
Prepared by, reviewed by, date	